

Write your name here

Surname

Other names

**Pearson Edexcel  
International GCSE**

Centre Number

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Candidate Number

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# Business

**Level 1/2**

**Paper 1: Investigating small businesses**

Sample assessment material for first teaching  
September 2017

**Time: 1 hour 30 minutes**

Paper Reference

**4BS1/01**

**You do not need any other materials.**

Total Marks

## Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided  
– *there may be more space than you need.*

## Information

- The total mark for this paper is 80.
- The marks for **each** question are shown in brackets  
– *use this as a guide as to how much time to spend on each question.*

## Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ►

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## FORMULAE FOR INTERNATIONAL GCSE BUSINESS STUDIES

### Gross profit margin

Gross profit = revenue – cost of sales

$$\text{Gross profit margin} = \frac{\text{gross profit}}{\text{revenue}} \times 100$$

### Operating profit margin

Operating profit = gross profit – other operating expenses

$$\text{Operating profit margin} = \frac{\text{operating profit}}{\text{revenue}} \times 100$$

### Markup

$$\text{Markup} = \frac{\text{profit per item}}{\text{cost per item}} \times 100$$

### Return on capital employed (ROCE)

$$\text{ROCE} = \frac{\text{operating profit}}{\text{capital employed}} \times 100$$

### Current ratio

$$\text{Current ratio} = \frac{\text{current assets}}{\text{current liabilities}}$$

### Acid test ratio

$$\text{Acid test ratio} = \frac{\text{current assets} - \text{inventory}}{\text{current liabilities}}$$

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**Answer ALL questions. Write your answers in the spaces provided.**

**Some questions must be answered with a cross ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.**

- 1** Haji Biriyani is a restaurant group located in Dhaka, Bangladesh. The business was started in 1939 by Haji Mohammed Hossain. The restaurant group now has three restaurants in Dhaka. It is famous for selling Biriyani, a mixed rice dish containing mutton and spices such as black peppercorns and cinnamon.

(a) (i) Which of the following is an element of the marketing mix?

(1)

|                          |                       |
|--------------------------|-----------------------|
| <input type="checkbox"/> | <b>A</b> Pay          |
| <input type="checkbox"/> | <b>B</b> Price        |
| <input type="checkbox"/> | <b>C</b> Profit       |
| <input type="checkbox"/> | <b>D</b> Productivity |

(ii) Which of the following terms describes a situation where a worker is given the authority to carry out a task that a manager would normally do?

(1)

|                          |                               |
|--------------------------|-------------------------------|
| <input type="checkbox"/> | <b>A</b> Job rotation         |
| <input type="checkbox"/> | <b>B</b> Job share            |
| <input type="checkbox"/> | <b>C</b> Part-time employment |
| <input type="checkbox"/> | <b>D</b> Delegation           |

(iii) Which of the following could be a non-financial objective for the owner of a business?

(1)

|                          |                                      |
|--------------------------|--------------------------------------|
| <input type="checkbox"/> | <b>A</b> Improved chance of survival |
| <input type="checkbox"/> | <b>B</b> Increased market share      |
| <input type="checkbox"/> | <b>C</b> Personal satisfaction       |
| <input type="checkbox"/> | <b>D</b> Increased profit            |

(iv) Which of the following is a measure of the liquidity of a business?

(1)

|                          |                        |
|--------------------------|------------------------|
| <input type="checkbox"/> | <b>A</b> Net cash flow |
| <input type="checkbox"/> | <b>B</b> Profit        |
| <input type="checkbox"/> | <b>C</b> Revenue       |
| <input type="checkbox"/> | <b>D</b> Total costs   |

At the start of April 2016, Haji Biriyani has the following cash-flow forecast figures in Bangladesh Takas (Tks):

April opening cash balance 1 200 000 Tks

April cash inflow 1 400 000 Tks

April cash outflow 2 800 000 Tks

(v) What is the closing cash balance for Haji Biriyani at the end of April 2016?

(1)

|                          |                         |
|--------------------------|-------------------------|
| <input type="checkbox"/> | <b>A</b> -1 600 000 Tks |
| <input type="checkbox"/> | <b>B</b> -200 000 Tks   |
| <input type="checkbox"/> | <b>C</b> 2 600 000 Tks  |
| <input type="checkbox"/> | <b>D</b> 5 400 000 Tks  |

Haji Biriyani needs to import 20kg of black peppercorns from India. The price of 1 kg of black peppercorns is 620 rupees.

(vi) The exchange rate between the Bangladesh Taka (Tks) and the Indian rupee is 1Tks = 0.8 rupees. How much will Haji Biriyani have to pay for the imported black peppercorns in Bangladesh Taka?

(1)

|                          |                     |
|--------------------------|---------------------|
| <input type="checkbox"/> | <b>A</b> 496 Tks    |
| <input type="checkbox"/> | <b>B</b> 775 Tks    |
| <input type="checkbox"/> | <b>C</b> 9 920 Tks  |
| <input type="checkbox"/> | <b>D</b> 15 500 Tks |

(b) Define the term '**revenue**'.

(1)

(c) Define the term '**variable costs**'.

(1)

(d) State **one** fixed cost that Haji Biriyani may have to pay.

(1)

Figure 1 shows selected information from Haji Biriyani's statement of comprehensive income in 2015.

|                          | million Tks |
|--------------------------|-------------|
| Revenue                  | 16          |
| Cost of sales            | (7)         |
| Gross profit             | 9           |
| Other operating expenses | (5)         |

**Figure 1**

(e) Calculate Haji Biriyani's operating profit margin in 2015. You are advised to show your working.

(2)

(f) Explain **one** disadvantage to a business of increased competition.

(3)

(g) Analyse the impact on Haji Biryani from preparing financial documents.

(6)

**(Total for Question 1 = 20 marks)**

2 Haji Biryani plans to expand and open a fourth restaurant in 2016. More staff will have to be employed.

- (a) State **one** piece of information a potential member of staff may include in their curriculum vitae (CV) when applying for a job with Haji Biryani.

(1)

- (b) State **one** piece of information that may appear in a job description for a chef in the fourth Haji Biryani restaurant.

(1)

- (c) Explain **one** reason why a business produces a person specification when it wants to recruit new employees.

(3)

- (d) Explain **one** method a business could use to motivate its employees.

(3)

(e) Explain **one** benefit to a business of having motivated employees.

(3)

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The owners of Haji Biryiani want to reduce the break-even level of output for its main restaurant in Dhaka.

In order to reduce the break-even level of output, the owners are considering two options.

**Option 1:** Increase the price of food on its menu.

**Option 2:** Reduce the remuneration of its employees.

(f) Justify which one of these two options Haji Biryiani should choose.

(9)

(Total for Question 2 = 20 marks)

3 (a) Define the term '**average total cost**'.

(1)

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(b) Outline **one** reason why a restaurant group is best described as being in the tertiary sector.

(2)

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Figure 2 shows the fixed and variable costs of making one biriyani meal at Haji Biriyani's main restaurant in Dhaka.

|                                                  | Tks    |
|--------------------------------------------------|--------|
| Total fixed costs                                | 20 000 |
| Variable costs of mutton per meal                | 250    |
| Variable costs of rice per meal                  | 110    |
| Variable costs of vegetables and spices per meal | 40     |

**Figure 2**

(c) Calculate the total costs of making 10 biriyani meals.

(2)

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In 2015, Haji Biriyani’s acid test ratio was 0.9.

(d) Analyse the impact of this acid test ratio on Haji Biriyani.

(6)

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The owners of Haji Biryani want to judge the success of the restaurant group.

In order to do this, the owners are considering using the following two options.

**Option 1:** Customer satisfaction.

**Option 2:** Profit.

(e) Justify which one of these methods the owners should use.

(9)

**(Total for Question 3 = 20 marks)**

**4** In 2015, Haji Biriyanis's total costs were 11 000 000 Tks. By opening a fourth restaurant the restaurant group estimates that its total costs will increase by 20%.

(a) Calculate the estimated total costs if Haji Biriyani opens its fourth restaurant.

(2)

(b) Analyse the possible impact of a rise in Bangladeshi interest rates on Haji Biriyani.

(6)

In 2015, Haji Biryani considered introducing a home delivery service where food ordered on the internet is delivered to customers at their homes.

- (c) Evaluate whether the introduction of a home delivery service would increase Haji Biryani's profits. You should use the information provided as well as your own knowledge of business.

(12)

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(Total for Question 4 = 20 marks)

**TOTAL FOR PAPER = 80 MARKS**